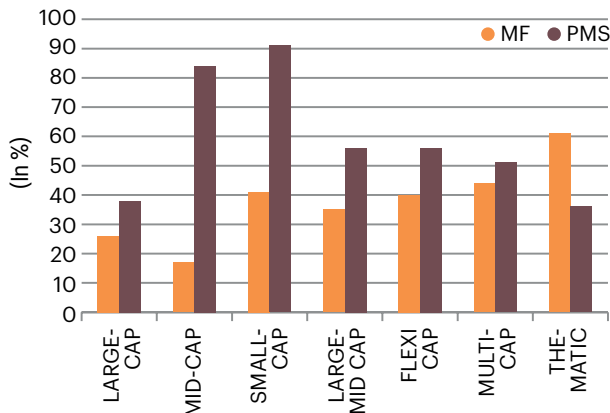


PROLIFIC PMS

● In a three-year period, six of seven PMS investment strategies have outperformed their benchmarks and MFs

● The tables turned in the thematic category, where MFs outperformed the benchmark by 61%



NOTE BARS INDICATE PERCENTAGE OF STRATEGIES THAT HAVE OUTPERFORMED THEIR BENCHMARK INDICES OVER A THREE-YEAR PERIOD

SOURCE PMS BAZAAR

The PMS manager may take a relatively higher active risk vis-à-vis the benchmark, but most MFs follow an index-hugging strategy, which means that the weights of stocks or sectors in their portfolio won't have too much of a divergence from the underlying market index. "By virtue of a concentrated portfolio that may also have a higher divergence from the underlying market benchmark, a PMS could have a higher beta or more volatile performance as compared to an MF. This means that in a bullish market, a PMS could outperform the MF, while it could be the reverse in a bearish market scenario," explains Sarin.

Another key distinction is that in PMS, you own stocks directly, but in MFs, the asset management company handles buying and selling on your behalf. For a PMS account, you need to open a separate demat account and bank account, while you can invest in MFs without opening a demat account or new bank account.

"MFs pool money from multiple investors and invest in a diversified portfolio of securities, such as stocks, bonds, and other assets. Investors buy units or shares of the MF, and a professional fund manager manages the fund. PMS involves the management of individual portfolios on behalf of clients. The holdings are held in each

client's individual demat account," says Kothari.

Most importantly, tax treatment differs. MFs are tax-free if you don't redeem units, but in PMS, any transaction by the fund manager in the name of the client is subject to short-term- or long-term capital gains tax, or dividends and interest payments are also taxed as per the investor's individual tax bracket. "This makes MFs more attractive than PMS schemes, as the tax liability is deferred, resulting in no leakage as long as the investor remains invested in the fund," says Kothari.

COST BURDEN

PMS investing can be lucrative, but it involves multiple costs and fees, which vary depending on the PMS provider, portfolio size, and investment strategy. Kothari says, that to start with, you have management fees—which PMS providers charge for managing your investment portfolio. These are generally billed monthly or quarterly as a fraction of the average assets under management. The percentage varies from 1% to 2.5% of AUM. Investors need to negotiate and fully comprehend these fees before entering into an agreement.

You may also pay performance fees if the PMS provider earns profits above a specified benchmark or hurdle rate. These fees are usually a share of profits and are charged annually or at the end of the investment period. "Usually, most PMS offer two fee variants to investors—fixed fee only or fixed plus performance fee. While the fixed fee currently ranges from 2-2.5% of the AUM per annum, the hybrid fee model comes with a fixed fee of 1-1.5%, plus a performance fee charged beyond a certain hurdle rate," says Sarin. "In a good year where markets have given upwards of 15% returns, the cost in the hybrid fee model could go up to 3% and beyond. Besides this, administrative costs like custody fee and trading fee are charged as per actuals. Some PMS could have exit loads as well," he adds.

It's important for investors to carefully review the fee structure and cost implications before investing in PMS. Additionally, investors should consider the impact of fees on their overall returns and evaluate whether the potential benefits of PMS justify the costs involved. Consulting with a financial advisor or wealth manager can help investors understand the fee structure and make informed decisions based on their investment objectives and preferences. "We follow a core and satellite approach for our clients. In the core part of the portfolio, we take exposure to asset classes like debt and equity, primarily through the MF route. As a policy, we do not take exposure of more than 10-15% of equity to a single scheme, be it MF or PMS," says Kothari. **BT**

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